

Contribution-based Social Security Act, 2017

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Amending Acts

1. Act to Amend Some Nepal Acts, 2075 (2018) 2075.11.19
2. Act to Amend Some Nepal Acts, 2082 (2025) 2082.04.14

Act Number 8 of the year 2074 (2017)

An Act Made to Provide for Contribution-based Social Security

Preamble: Whereas, it is expedient to make necessary provisions for ensuring the right to social security based on the contribution of workers and providing social security to the contributor,

The Legislature-Parliament, pursuant to Sub-article (1) of Article 296 of the Constitution of Nepal, has enacted this Act. Chapter-1

Preliminary

1. Short Title, Extent and Commencement: (1) This Act may be called the "Contribution-based Social Security Act, 2074 (2017)".

(2) This Act shall commence on the ninety-first day from the date of its certification. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Dependent Family" means any living person of the following relationship living jointly with the contributor:

- (1) Husband or wife,
- (2) Son, daughter-in-law, or daughter,
- (3) Father, mother, mother-in-law, or father-in-law,
- (4) Grandson or granddaughter.

(b) "Executive Director" means the Executive Director of the Fund appointed pursuant to Section 42.

(c) "Fund" means the Social Security Fund established pursuant to Section 26.

(d) "Prescribed" or "as prescribed" means prescribed or as prescribed in this Act or the rules or regulations made under this Act.

(e) "Ministry" means the Ministry of Labour, Employment and Social Security, amended by the Act to Amend Some Nepal Acts, 2075.

Government of Nepal.

(f) "Contribution" means the amount regularly deposited or to be deposited by the worker and the employer into the Fund to receive benefits under the social security scheme, and the term also denotes the amount deposited by informal sector workers and self-employed persons to participate in the social security scheme.

(g) "Contributory Income" means the basic remuneration received by a worker directly or indirectly from employment on a daily, weekly, bi-weekly, or monthly basis, prior to tax deduction pursuant to prevailing law.

(h) "Contributor" means a worker, a self-employed person, a person serving in government service, or a person receiving remuneration from a government fund as specified by the Government of Nepal by publishing a notice in the Nepal Gazette, who is registered under the social security scheme and has obtained a Social Security Number.

(i) "Employer" means a person or establishment employing a worker, and the term also denotes the following persons:

(1) In respect of an establishment, the manager,

(2) A worker who employs another worker,

(3) In respect of supplied workers, the worker supplier, and

(4) In respect of a person serving in government service or a person receiving remuneration from a government fund, the Government of Nepal, Provincial Government, or Local Level.

(j) "Committee" means the Board of Directors of the Fund constituted pursuant to Section 29.

(k) "Government Service" means the Federal Civil Service, Nepal Army, Federal Police, Armed Police Force Nepal, National Investigation Department, Provincial Civil Service, Provincial Police Service, or any other service related to the Government of Nepal, Provincial Government, or Local Level as specified by the Government of Nepal by publishing a notice in the Nepal Gazette.

(l) "Social Security Scheme" means the social security scheme operated by the Fund pursuant to Section 10.

(m) "Benefit" means the benefit or payment given based on the contribution made to the social security scheme.

(n) "Registered Employer" means an employer registered with the Fund pursuant to Section 19.

(o) "Local Level" means a Rural Municipality or Municipality.

(p) "Self-Employed Person" means a self-employed person as prescribed by the Ministry, upon the recommendation of the Committee, by publishing a notice in the Nepal Gazette.

(q) "Worker" means a laborer, employee, or any person designated by any title employed to perform physical or mental work for an employer in consideration of remuneration, and the term also denotes a worker working in the informal sector as prescribed by the Ministry, upon the recommendation of the Committee, by publishing a notice in the Nepal Gazette.

(r) "Labour Force" means a Nepali citizen within the age group of eighteen years to sixty years who is economically active or capable of being active in the labour market but is not in any kind of employment.

Chapter-2

Provisions Relating to Contribution-based Social Security Scheme

3. No Social Security Without Contribution: No person who does not contribute to the social security scheme

shall receive social security pursuant to this Act. 4. Contribution to be Deposited: (1) Every registered employer shall regularly deposit into the Fund the contribution as per Section 7 on the contributory income of each worker appointed by him/her or with whom an employment relationship has been established, along with the additional amount to be added by the registered employer to such contribution as per the same section.

(2) While depositing the contribution pursuant to Sub-section (1), it shall be made for the period from the date of registration of the worker to the last day the worker remains in employment.

(3) Except as otherwise prescribed by the Fund, the contribution amount shall be deposited on a monthly basis, and if the full month's contribution is not required, it shall be made on a pro-rata basis.

(4) The contribution as per Sub-section (1) shall be deposited into the Fund within amended by the Act to Amend Some Nepal Acts, 2082.twenty-five days after the end of the month in which the contributory income is payable.

(5) For a person serving in government service or a person receiving remuneration from a government fund, the prescribed contribution shall be deducted from the contributory income and deposited into the Fund by the concerned office. 5. Informal Sector Workers and Self-Employed Persons May Participate in Social Security Scheme: (1) Informal sector workers and self-employed persons may participate in the social security scheme by depositing into the Fund the contribution as prescribed by the Ministry, upon the recommendation of the Committee, by publishing a notice in the Nepal Gazette.

(2) To encourage informal sector workers and self-employed persons to participate in the social security scheme, the Government of Nepal shall deposit into the Fund a prescribed amount based on the contribution made by such persons to the social security scheme.

(3) The Fund may collaborate with cooperative societies or associations, community or other professional associations or organizations for the purpose of bringing informal sector workers and self-employed persons into the social security scheme.

(4) The Fund may operate social security schemes as prescribed for the social security of informal sector workers and self-employed persons. Added by the Act to Amend Some Nepal Acts, 2082.5A.

Citizens in Foreign Employment May Participate in Social Security Scheme: (1) A worker going to any foreign country for employment from Nepal pursuant to prevailing law, or a Nepali citizen engaged in self-employment abroad, may participate in the social security scheme by depositing into the Fund the contribution amount as prescribed by the Ministry, upon the recommendation of the Committee, by publishing a notice in the Nepal Gazette. (2) For the purpose of Sub-section (1), the Fund may collaborate with the institution providing social security in the concerned foreign country or other agency for collecting the monthly contribution amount to be deposited with the Fund by workers in foreign employment or Nepali citizens engaged in self-employment abroad. (3) The Fund may make necessary arrangements by collaborating with the institution or agency operating the social security scheme of the concerned country, to provide the benefits accrued to Nepali citizens in foreign employment or engaged in self-employment abroad from being part of the social security scheme of that country within Nepal itself. (4) Other provisions relating to integrating workers going for foreign employment or Nepali citizens engaged in self-employment abroad into social security shall be as prescribed. 6. May Choose Social Security Scheme: (1) Informal sector workers and self-employed persons may choose to participate in one or more social security schemes based on contribution. (2) Notwithstanding anything contained in Sub-section (1), except as otherwise provided by the

Fund, no worker or self-employed person shall be entitled to choose social security schemes in a manner that results in participation in some social security schemes operated by the Fund under this Act and non-participation in others. 7. Rate of Contribution: (1) The rate of contribution to be made by the registered employer on its behalf or from the contributory income of the contributor shall be as prescribed by the Ministry, upon the recommendation of the Committee, by publishing a notice in the Nepal Gazette. (2) The rate of contribution under Sub-section (1) may be increased, decreased, or revised by the Ministry, upon the recommendation of the Committee, by publishing a notice in the Nepal Gazette, based on the number of workers and self-employed persons participating in the social security scheme, inflation, financial status of the Fund, and the number of social security schemes. 8.

Provision Relating to Contribution for Period not Receiving Remuneration: (1) If a worker, due to any reason, is unable to regularly deposit the contribution into the Fund because of circumstances where he/she does not receive remuneration, the concerned registered employer shall deposit into the Fund the contribution to be made by such worker for a maximum period of three months. (2) The registered employer may recover the amount of contribution so deposited pursuant to Sub-section (1) by deducting it as prescribed from the remuneration, allowances, or other benefits payable to the concerned worker. 9. Recovery of Contribution Amount: (1) If a registered employer fails to deposit the contribution amount into the Fund within the period mentioned in Section 4, the Fund shall recover the contribution amount from the concerned employer along with interest of ten percent of the contribution amount. (2) Notwithstanding anything contained in Sub-section (1), if a registered employer fails to deposit the contribution into the Fund within the period mentioned in Section 4 due to force majeure circumstances, he/she may submit an application within thirty days, stating the reason and basis, to deposit such contribution amount. (3) If the basis and reason mentioned in the application under Sub-section (2) appear reasonable, the Fund may grant a partial or full waiver of the interest amount leviable on the registered employer and permit the deposit of the contribution amount into the Fund. (4) For an employer who fails to register or cause registration with the Fund, or fails to pay the contribution amount pursuant to this Act, amended by the Act to Amend Some Nepal Acts, 2082, the Executive Director may send a letter to the concerned agency to take any or all of the following actions: (a) Freeze accounts maintained with banks and financial institutions, (b) Attach movable and immovable property of the concerned person or entity, (c) Suspend or withhold concessions and facilities entitled under prevailing law, (d) Suspend the license or permit held in the name of the concerned person or entity, (e) Impound the passport of the concerned person. (5) If a letter is received pursuant to Sub-section (4), the concerned agency shall commence the necessary procedure on the matter within fifteen days. Added by the Act to Amend Some Nepal Acts, 2082. (6) Notwithstanding anything contained elsewhere in this section, if a registered employer fails to deposit the contribution amount into the Fund within the period mentioned in Section 4, and an accident or death occurs during the period after such default and before the contribution is deposited, making it necessary to provide any benefit under this Act to the worker, the concerned employer shall provide the worker with an amount equivalent to such benefit.

10. Operation of Social Security Schemes: (1) The Fund, subject to this Act, shall operate the following social security schemes:

- (a) Medical Treatment and Health Security Scheme,
- (b) Maternity Security Scheme,
- (c) Accident Security Scheme,
- (d) Disability Security Scheme,
- (e) Old Age Security Scheme,

- (f) Dependent Family Security Scheme,
- (g) Unemployment Assistance Scheme,
- (h) Other social security schemes as prescribed by the Fund.

(2) The Fund shall operate the social security schemes based on the priority set by the Government of Nepal.

(3) The Fund may operate the social security schemes listed in Sub-section (1) in a phased manner.

(4) A contributor who contributes to the Fund for the prescribed period shall be included in the prescribed social security scheme in proportion to his/her contribution. 11. May Operate Different Social Security Schemes: (1) The Fund may operate social security schemes of different natures based on the nature of work and need of the contributors participating in the social security scheme.

(2) Notwithstanding anything contained in Sub-section (1), no security scheme shall be operated in a manner that results in different benefits for contributors of the same nature or category. 12. Separate Account to be Maintained: (1) A separate account shall be maintained for each social security scheme.

(2) The amount in the account of one security scheme shall not be used for another security scheme.

(3) The amount to be deposited into the account under Sub-section (1), expenditure to be incurred, account operation, and other arrangements shall be as prescribed. 13. Deemed Participant in Social Security Scheme: (1) A contributor who has contributed to the social security scheme shall be deemed to be a participant in the social security scheme operated by the Fund from the date of registration in the Fund.

(2) A contributor who has participated in the social security scheme pursuant to Sub-section (1), and his/her dependent family as prescribed, shall receive benefits according to the social security scheme. 14.

Payment of Benefit: (1) The Fund shall pay the prescribed benefit to a contributor who has participated in the social security scheme according to the concerned security scheme. (2) If a contributor who has participated in the security scheme dies before receiving the benefit under Sub-section (1), or his/her being alive is not confirmed until the period prescribed in prevailing law, the benefit he/she would receive shall be paid to the person he/she has willed, and if he/she has not willed anyone, to his/her dependent family. (3) While paying benefits pursuant to Sub-section (1) or (2), payment shall be made in such a way that the contributor or his/her dependent family receives it through the Fund, or through the institution or agency that collected the contribution, or through the institution from which the person received services or benefits, or through any other appropriate means prescribed by the Committee. 15. Suspension and Termination of Benefit: The suspension and termination of benefits payable to a contributor under this Act shall be as prescribed. 16. Recovery of Amount: (1) If it comes to notice in any manner that a person who has not participated in the social security scheme has received benefits under this Act, or that anyone has received more benefits than entitled under this Act, the Fund shall recover such amount from such person as prescribed. (2) The amount recovered pursuant to Sub-section (1) shall be deposited into the Fund. 17.

Fund May Issue Order: (1) If any employer fails to register with the Fund within the prescribed period under this Act, or fails to register a worker appointed by him/her or with whom an employment relationship is established amended by the Act to Amend Some Nepal Acts, 2082.with the Fund, or fails to deposit the contributor's contribution amount within the time stipulated under Sub-section (4) of Section 4, the Executive Director may issue an order to such employer as follows: (a) To immediately register with the Fund and cause the registration of the worker appointed by him/her or with whom an employment relationship is established, (b) To deposit into the Fund the contribution payable under this Act from the date of the

establishment of the employment relationship between such employer and the worker, along with the interest leviable pursuant to Section 9, or (c) If it appears that the employment relationship between the employer and the worker has already ended, to provide the concerned worker, within a prescribed period, an amount equivalent to the benefit the worker should have received under this Act for the period the employment relationship existed. (2) If the employer fails to provide the amount for social security to the worker pursuant to Clause (c) of Sub-section (1), the Fund shall recover such amount and provide it to the concerned worker.

18. Other Provisions Relating to Social Security Scheme: (1) Notwithstanding anything contained elsewhere in this Chapter, for the purpose of bringing the prescribed labour force not engaged in regular income generation into the social security scheme, the Government of Nepal may deposit the prescribed contribution into the Fund in the name of such labour force. (2) Based on the contribution deposited by the Government of Nepal under Sub-section (1), such labour force shall participate in the prescribed social security scheme.

Chapter-3 Provisions Relating to Registration in the Fund

19. Publication of Notice for Registration: (1) The Ministry shall, upon the recommendation of the Committee, publish a notice in the Nepal Gazette for employers operating industries, services, businesses, or transactions of the prescribed field and nature to register with the Fund within the period under Section 20. (2) The employer shall, within the period specified in the notice published under Sub-section (1), submit an application to the Fund office in the prescribed format with the prescribed details for registration with the Fund. (3) Upon receipt of the application with the prescribed details under Sub-section (2), the Fund shall register the concerned employer and provide a registration number to such employer in the prescribed format. 20.

Registration of Worker to be Caused: (1) An employer who is required to be registered under this Act and who has an existing employment relationship at the time of the commencement of this Act shall, within six months from the date of commencement of this Act, and a registered employer after the commencement of this Act shall, within three months from the date of establishing such relationship, cause the person appointed by him/her or with whom an employment relationship is established to be registered with the Fund. (2) If any employer has not registered any worker with the Fund within the period under Sub-section (1), the concerned worker may submit an application to the Fund. (3) If, upon receiving an application under Sub-section (2) or from any other source, it appears that an employer to whom this Act applies has not caused the registration of a worker appointed by him/her or with whom an employment relationship is established, the Fund may set a deadline and order the concerned employer to cause the registration of such employer and worker. (4) It shall be the duty of the concerned employer to comply with the order given by the Fund under Sub-section (3). (5) The provisions relating to the registration of informal sector workers and self-employed persons shall be as prescribed. (6) The Fund shall provide a social security number under Section 41 to a worker or self-employed person registered under this section.

21. Provision Relating to Registration of Person Serving in Government Service or Receiving Remuneration from Government Fund: Provisions relating to the registration of a person serving in government service or a person receiving remuneration from a government fund shall be as prescribed by the Government of Nepal.

22. Deemed Registration: (1) Upon the employer obtaining a registration number and the contributor obtaining a social security number under this Chapter, such employer and contributor shall be deemed to be registered with the Fund. (2) Notwithstanding anything contained in Sub-section (1), in the case of a worker contributing to a social security fund under the prevailing law at the time of the commencement of this Act, and a person serving in government service or a person receiving remuneration from a government fund, they shall be deemed to be registered with the Fund from the date of deposit of the amount in that fund.

23.

Records Relating to Registration: (1) Records relating to the registration of persons to be registered with the Fund under this Chapter shall be based on an integrated computer system. (2) The personal and biometric

information of individuals maintained in the record under Sub-section (1) shall not be used except for the purposes of the Fund. (3) Notwithstanding anything contained in Sub-section (2), if such information is requested by an authorized officer for the purpose of assisting investigation or judicial proceedings under the prevailing law, it shall not be deemed an obstruction to provide the information from such records. 24. Information to be Given if not in Employment: If a contributor is not in employment for any reason, the registered employer shall inform the Fund accordingly within one month as prescribed. 25. Employer Registration Number Not to Remain Valid: (1) If a registered employer established under prevailing law is dissolved, goes into liquidation, or is wound up under prevailing law, the registration number obtained by such employer under Section 19 shall not remain valid. (2) Provisions relating to the payment of liabilities of an employer whose registration number has not remained valid under Sub-section (1) shall be as prescribed. Chapter-4 Provisions Relating to Establishment and Operation of the Fund 26. Establishment of Fund: (1) A Social Security Fund is established to operate and manage social security. This Fund shall be in the form of a Revolving Fund. (2) The Fund under Sub-section (1) shall consist of the following amounts: (a) Amount received as contribution from contributors and employers for the purpose of the social security scheme, (b) Ten percent amount from the basic remuneration of the worker each month as per prevailing labour law and the amount added from the provident fund by the employer, (c) Amount payable by the employer to the worker as gratuity, pension, and other benefits under the prevailing labour law, (d) Amount deposited and to be deposited in the national level welfare fund under the prevailing law relating to bonus, (e) Amount collected so far and to be collected in the future under the social security tax, (f) Grant received from the Government of Nepal, (g) Grant, aid, or loan amount received from foreign governments and international organizations, (h) Interest and profit amount received from investment of the Fund's money, (i) Amount received as loan from the Government of Nepal, and (j) Amount received from any other source.

Omitted by the Act to Amend Some Nepal Acts, 2075.(3)

(4) Before receiving the amount under Clause (f) of Sub-section (2), the Fund shall obtain the approval of the Government of Nepal.

(5) The amount received in the Fund under Sub-section (2) shall be deposited by opening an account in a "A" class bank or financial institution licensed to conduct financial transactions under the prevailing law relating to banks and financial institutions, subject to this Act.

(6) The operation of the Fund's account under Sub-section (5) shall be under the joint signature of the Executive Director and the Head of Accounts. 27. Fund to be an Autonomous and Corporate Body: (1) The Fund shall be an autonomous and corporate body with perpetual succession.

(2) The Fund shall have a separate seal for its business.

(3) The Fund may, like an individual, acquire, use, possess, sell, and otherwise dispose of movable and immovable property.

(4) The Fund may file cases in its own name, and cases may also be filed against the Fund in the same name.

(5) The Fund may, like an individual, enter into contracts and exercise rights and discharge liabilities under contracts. 28. Office of the Fund: The central office of the Fund shall be located in Kathmandu Valley, and the Fund may open its branch offices in any place within Nepal as required. 29. Committee: (1) For the operation, supervision, and management of the work to be performed on behalf of the Fund, a Board of Directors shall be constituted as follows:-

Amended by the Act to Amend Some Nepal Acts, 2082.(a) Secretary, Ministry of Labour, Employment and Social Security - Chairperson

(b) Deputy Governor, Nepal Rastra Bank (overseeing the Regulation Department) - Member

(c) Joint Secretary, Ministry of Finance (overseeing Budget and Programme) - Member

(d) Joint Secretary, Ministry of Law, Justice and Parliamentary Affairs - Member

(e) Joint Secretary, National Planning Commission (overseeing Social Sector) - Member

Amended by the Act to Amend Some Nepal Acts, 2082.(f) Joint Secretary, Ministry of Land Management, Cooperatives and Poverty Alleviation - Member

(g) Three persons, including at least one woman, nominated by the Ministry as prescribed from among the Trade Union Federations - Member

(h) Three persons, including at least one woman, nominated by the Ministry as prescribed from among the Employers - Member

(i) Executive Director - Member-Secretary

(2) The term of office of members under Clauses (g) and (h) of Sub-section (1) shall be four years.

(3) Notwithstanding anything contained in Sub-section (2), if the performance of a member under Clause (g) or (h) of Sub-section (1) is not satisfactory, the Ministry may remove him/her from the post.

Before such removal, he/she shall be given an opportunity for a hearing.

(4) If the office of a member of the Committee falls vacant for any reason, the vacancy shall be filled for the remaining term by the same process by which the post was filled. 30. Meeting and Decision of the Committee: (1) The meeting of the Committee shall be held at least once every six months, and may be held as many times as necessary.

(2) The meeting of the Committee shall be held at the date, place, and time specified by the Chairperson.

(3) The Member-Secretary of the Committee shall provide information to the members of the Committee about the date, time, and place of the meeting, along with the agenda for discussion, at least twenty-four hours before the meeting.

(4) Notwithstanding anything contained in Sub-section (3), if it is urgently necessary to call a meeting of the Committee for special reasons, the meeting may be called with a shorter notice.

(5) If more than fifty percent of the members of the Committee are present, the quorum shall be deemed to have been met for the meeting.

(6) The decision of the majority in a meeting of the Committee shall be deemed to be the decision of the Committee. In case of a tie, the person chairing the meeting shall have the casting vote. Provided that, if it is necessary to determine the contribution rate on contributory income such that it is more than twenty percent from the employer's side and more than eleven percent from the worker's side, such decision shall be made at a meeting where members under Clauses (g) and (h) of Sub-section (1) of Section 29 are present.

(7) The Committee may invite any expert or specialist to its meeting as required. An invited person to a meeting of the Committee shall not have the right to vote.

(8) The decision of the meeting of the Committee shall be certified by the Member-Secretary.

(9) Other procedures relating to meetings of the Committee shall be as prescribed. 31.

Duties, Functions and Powers of the Committee: (1) In addition to the duties, functions, and powers mentioned elsewhere in this Act, the other duties, functions, and powers of the Committee shall be as follows: (a) Formulate policies relating to the social security scheme, (b) Provide advice to the Government of Nepal on matters relating to social security, (c) Approve the social security scheme, budget, and programmes and operate and manage the Fund, (d) Formulate investment policy and submit it to the Government of Nepal for approval, (e) Arrange for necessary funds for the proper operation and management of various social security schemes, (f) Coordinate and monitor the work performed by the Executive Director, (g) Keep the records of personal details of all persons, including workers registered with the Fund, self-employed persons, persons serving in government service, or persons receiving remuneration from a government fund, updated, (h) Audit or cause the audit of the Fund regularly and evaluate the overall economic and financial status of the Fund, (i) Carry out necessary work relating to operating the social security scheme, (j) Operate programmes to provide quick employment to the labour force receiving unemployment benefits, (k) Identify additional areas of employment in the domestic labour market and operate programmes to bring the labour force into employment on a wide scale, (l) Cause the distribution of identity cards to contributors, (m) Follow directions given by the Government of Nepal from time to time, (n) Perform other functions as prescribed. (2) The Committee may delegate some of the powers conferred upon it to the Chairperson, a member, a sub-committee constituted under Section 38, or the Executive Director or any officer or employee of the Fund. 32.

Investment of Fund's Money: (1) Subject to the procedure relating to investment approved by the Government of Nepal, the Committee may mobilize the surplus and property of the Fund in any or all of the following sectors: (a) Invest in Government of Nepal bonds and purchase or sell such bonds, (b) Invest in fixed deposit accounts or long-term deposit schemes of "A" class banks or financial institutions licensed to conduct financial transactions under the prevailing law relating to banks and financial institutions, (c) Invest in shares of banks, financial institutions, and other limited liability companies, (d) Provide loans jointly on the basis of co-financing with banks or financial institutions established under prevailing law, in sectors deemed suitable by the Committee, by doing pass-through based on an agreement between them, (e) Invest in debentures issued by companies or corporate bodies established under prevailing law deemed suitable by the Committee, (f) Invest in approved mutual funds, (g) Identify suitable locations, construct buildings for commercial purposes, and rent them out, (h) Provide loans to companies or corporate bodies established under prevailing law, with terms and interest set, against the guarantee of banks or financial institutions established under prevailing law, (i) Invest in sectors deemed suitable by the Committee, taking adequate collateral or guarantee, (j) If the Fund obtains any property in the recovery of Fund loans, manage such property by the Fund itself or in collaboration with other institutions, (k) Provide loans as prescribed to workers, self-employed persons, persons serving in government service, or persons receiving remuneration from a government fund who have participated in the social security scheme, (l) Perform other functions relating to investment of the Fund's money. (2) Investment in shares under Clause (c) of Sub-section (1) shall not exceed fifteen percent of the paid-up capital of such bank or financial institution, and investment in debentures under Clause (e) shall not exceed ten percent of the total debentures issued by such company or corporate body. (3) When investing the Fund's money in any sector under Sub-section (1), the investment shall not exceed twenty percent of the money available in the Fund. 33. Accounts of the Fund: (1) The accounts of the Fund shall be maintained in accordance with the prevailing law. (2) The accounts of the Fund to be maintained under Sub-section (1) may also be maintained in electronic form. Added by the Act to Amend Some Nepal Acts, 2072.33A.

Expenditure of the Fund: (1) All expenditures incurred on behalf of the Fund shall be borne by the Fund under

Section 26. (2) Notwithstanding anything contained in Sub-section (1), administrative expenditure may be incurred not exceeding ten percent of the total annual income received from the Fund's investment, and such amount shall be spent subject to the approved budget and programme of the Fund. 34. Audit of the Fund: The audit of the accounts and registers of the Fund shall be conducted by the Auditor General or an auditor appointed by him/her. 35. Internal Control System to be Maintained: (1) The Fund shall maintain an internal control system as prescribed by making adequate arrangements for its organizational structure, human resource management, financial transparency, and information system. (2) For the purpose of Sub-section (1), an auditor shall be appointed from among the auditors who are members of the Institute of Chartered Accountants of Nepal established under prevailing law to conduct the internal audit of the Fund. (3) When appointing an auditor under Sub-section (2), the same person shall not be appointed as auditor for more than three consecutive terms. (4) The remuneration, terms of service, and other facilities of the auditor appointed under this section shall be as prescribed. 36.

Actuarial Valuation to be Conducted: (1) The Committee shall, every three years, cause an actuarial valuation to be conducted by an actuary regarding the economic condition, assets, liabilities, and financial position of the Fund. (2) Notwithstanding anything contained in Sub-section (1), if the Committee deems it necessary to conduct a valuation of the Fund before that period, it may cause an assessment to be conducted by an actuary regarding the economic condition, assets, liabilities, and financial position of the Fund. (3) After the actuary has valued the Fund, he/she shall submit an actuarial report to the Executive Director stating the following matters concerning the Fund: (a) The basis adopted for the valuation, (b) Aspects and subjects given special attention during valuation, (c) Total assets and liabilities of the Fund, (d) Financial condition of the Fund, (e) Liquidity of funds available in the Fund, (f) Steps to be taken to keep the financial condition of the Fund sound and healthy, (g) Rate of contribution, amount of benefit, and other relevant subjects for the security scheme in the context of providing social security, and (h) Other matters as prescribed. (4) The actuarial valuation report shall be submitted by the Executive Director to the Committee. (5) Appointment, qualifications, service facilities of the actuary, and other provisions relating to actuarial valuation shall be as prescribed. 37. Responsibility for Conducting Audit and Actuarial Valuation: (1) The responsibility for causing regular audit and actuarial valuation of the Fund shall rest with the Executive Director. (2) It shall be the duty of all concerned to assist in the work of conducting or causing the audit and actuarial valuation of the Fund. 38. May Form Sub-Committee: (1) The Committee may, as necessary, form a sub-committee including experts from the relevant field for matters including investment, social security management, audit, to assist in the work to be performed under this Act. (2) The duties, functions, powers, and procedures of the sub-committee formed under Sub-section (1), as well as the facilities to be received by the members of such sub-committee, shall be as specified by the Committee at the time of forming such sub-committee. Chapter-5 Identification, Record and Identity Card of Person 39. Identification of Person Entitled to Social Security: (1) To identify persons eligible for social security under this Act, the Fund shall develop an information technology-based system. (2) A person receiving any benefit under social security at the time of commencement of this Act shall be integrated by the Fund into the information technology-based system under Sub-section (1) within the prescribed period. 40.

Record and Registration of Contributor Entitled to Social Security: (1) A contributor receiving social security shall be integrated into the record system as prescribed by the Committee. (2) For the purpose of Sub-section (1), the Committee may obtain information and personal details from all types of record systems available in Nepal. Explanation: For the purpose of this section, "all types of record systems available in Nepal" means the personal event registration records of the Local Level, the photo and other biometric information details stored in the voter list prepared by the Election Commission, the details prepared for the

national identity card, the details prepared for the poor household identification card, the records of personal details of contributors maintained in the Employees Provident Fund, Citizen Investment Trust, civil, teacher, police, armed police, and military pension offices, private schools, public enterprises, and industries, companies, institutions, associations, firms, or establishments established under prevailing law. (3) Notwithstanding anything contained in the prevailing law, the Fund shall have access to the records of personal details in all types of record systems available in Nepal for the process of recording and registering individuals with the Fund. 41. Determination of Social Security Number: (1) The Committee shall determine a social security number of prescribed digits for each contributor joining the social security scheme. (2) The Committee shall provide free of charge an identity card containing the social security number under Sub-section (1) to a contributor registered with the Fund. (3) The format of the identity card under Sub-section (2) shall be as prescribed. (4) Social security received by a contributor under this Act shall be received based on the identity card containing the social security number under Sub-section (2). (5) Records of information, including social security, income, and employment of the contributor, required by the Fund shall be maintained based on the social security number under Sub-section (1). Chapter-6 Provisions Relating to Executive Director and Employees 42. Executive Director: (1) There shall be one Executive Director to act as the administrative chief of the Fund.

The Executive Director shall be responsible to the Committee for his/her work. (2) The Committee shall form a selection sub-committee consisting of three members of the Committee for the purpose of recommending the appointment of the Executive Director. (3) The selection sub-committee formed under Sub-section (2) shall, by open competition, select a maximum of three persons, where possible, from among persons holding at least a Master's Degree in Economics, Management, Labour, Commerce, or Law and having at least fifteen years of work experience at the officer level in government or non-government organizations, associations, or companies or corporate bodies established under prevailing law, and submit them to the Committee for appointment. (4) From among the persons selected under Sub-section (3), the Committee shall evaluate qualifications, experience, leadership ability, and the work plan for Fund management and operation submitted by him/her, and appoint the most suitable candidate to the post of Executive Director. (5) Notwithstanding anything contained elsewhere in this section, until the appointment of the Executive Director, the Ministry may designate or depute any first class gazetted officer of the Government of Nepal to work in the post of Executive Director. (6) The term of office of the Executive Director appointed under Sub-section (4) shall be four years, and he/she may be reappointed for (3) The annual report submitted pursuant to sub-section (1) shall be made public by the Ministry. 56. Recovery as Government Dues: Any amount to be recovered by the Fund pursuant to this Act may be recovered as government dues. 57. Social Security to be Voluntary: If any person does not wish to receive any facility under social security pursuant to this Act, or wishes to forfeit a facility already received, he or she may voluntarily choose not to receive or may forfeit such facility. 58.

Unclaimed Amount to be Deposited in the Fund: (1) If any amount that the employer is required to provide to a contributor pursuant to prevailing law, or any amount payable pursuant to a court order, is not claimed by the concerned contributor, or by the person he or she has designated, or by his or her dependent family members, even after five years, the concerned employer or institution or body shall deposit such amount into the Fund within one month. (2) The amount received pursuant to sub-section (1) shall be deposited by the Fund by opening a separate account in a 'Class A' bank or financial institution licensed to conduct financial transactions pursuant to the prevailing law relating to banks and financial institutions. (3) The use of the amount deposited pursuant to sub-section (1) shall be as prescribed. 59. May Seek Assistance: (1) While performing functions pursuant to this Act, the Fund may, as necessary, seek required assistance from

professional and occupational organizations related to employers or workers, the local administration, and the concerned body and officials. (2) If assistance is requested pursuant to sub-section (1), it shall be the duty of the concerned body and officials to provide the necessary assistance. 60. Publication of Financial Statements: (1) The Executive Director shall prepare the financial statements of the Fund every six months and submit them to the Committee. (2) The Committee shall publish the annual financial statements of the Fund within six months from the date of the end of each fiscal year. 61. May Arrange Insurance or Reinsurance: If the Fund has assumed any liability under any social security program it operates, the Fund may arrange insurance or reinsurance to cover the risk of such liability. 62. Liability of the Government of Nepal: If, for any reason, the amount available in the Fund is insufficient to provide the facility under the social security scheme to the contributors participating in the social security scheme, the Government of Nepal shall have the liability to continue the social security scheme. 63. Dissolution of the Fund: (1) The Government of Nepal may dissolve the Fund upon the recommendation of the Committee. (2) If the Fund is dissolved pursuant to sub-section (1), the liabilities and assets of the Fund shall devolve to the Government of Nepal. 64.

Collective Bargaining Not Affected: The provisions set forth in this Act or in the rules framed under this Act shall not be affected by any provision or agreement relating to collective bargaining. 65. Government of Nepal May Issue Directions: (1) The Government of Nepal may, as necessary, issue directions to the Fund. (2) It shall be the duty of the Fund to comply with the directions given pursuant to sub-section (1). 66. Communication with Government of Nepal: When communicating with the Government of Nepal, the Fund shall do so through the Ministry. 67. Security, Exemptions and Facilities of the Fund: The Fund under this Act and its contributors shall have the same security, exemptions and facilities as are provided to the fund under the Employees' Provident Fund Act, 2019 (1962) and to the employees depositing amounts therein. 68. To be Governed by this Act: Matters provided for in this Act shall be in accordance with this Act, and other matters shall be in accordance with the prevailing laws of Nepal. 69. Power to Frame Rules: The Government of Nepal may frame necessary rules for the implementation of this Act. 70. Power to Frame Regulations, Directives and Procedures: (1) For the conduct of financial and administrative work, the Fund may frame regulations relating to financial and personnel administration. (2) Subject to this Act or the rules or regulations framed under this Act, the Fund may frame directives and procedures as necessary. (3) Regulations framed pursuant to sub-section (1) or directives and procedures framed pursuant to sub-section (2) shall come into effect after approval by the Ministry.